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Report Highlights:

The EU is the world's largest producer of olive oil, accounting for well over half of global supply. In MY 2025/26, Post projects a continued recovery of the EU olive oil sector from recent droughts, with production stabilizing, consumption rebounding, and trade flows adapting to both internal and external market dynamics. The MY 2025/26 olive oil production in the EU is expected to stay marginally below previous season levels, as long-awaited fall precipitation only arrived in the second half of November, leaving little room for initial production forecasts to expand. The larger availability of olive oil in MY 2024/25 allowed for larger sales within the EU, and for a recovery in exported volumes, with relatively smaller import needs.

Disclaimer: This report presents the olive oil sector situation in the EU. This report contains the views of the authors and does not reflect the official views of the U.S. Department of Agriculture (USDA). The data are not official USDA data.

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Abbreviations used in this report

EU	European Union
FAS	Foreign Agricultural Service
HS Code	Harmonized Codes (1509)
IPAD	International Production Assessment Division
MS	Member State(s)
MT	Metric ton (1,000 kg)
MY	Marketing year (Nov/Oct)
N/A	Not Available
PS&D	Production, Supply and Demand

Production, Supply, and Demand

Table 1. EU Olive Oil Production Supply and Demand

Oil, Olive Market Year Begins European Union	2023/2024		2024/2025		2025/2026	
	Nov 2023		Nov 2024		Nov 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Beginning Stocks (1000 MT)	204	204	181	200	275	287
Production (1000 MT)	1,549	1,549	2,164	2,107	1,980	2,055
MY Imports (1000 MT)	230	203	200	178	200	200
Total Supply (1000 MT)	1,983	1,956	2,545	2,485	2,455	2,542
MY Exports (1000 MT)	687	606	825	763	730	765
Industrial Dom. Cons. (1000 MT)	15	15	20	20	20	20
Food Use Dom. Cons. (1000 MT)	1,100	1,140	1,425	1,415	1,425	1,425
Total Dom. Cons. (1000 MT)	1,115	1,155	1,445	1,435	1,445	1,445
Ending Stocks (1000 MT)	181	200	275	287	280	332
Total Distribution (1000 MT)	1,983	1,961	2,545	2,485	2,455	2,542
(1000 HA) ,(1000 TREES) ,(1000 MT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS Europe Posts.

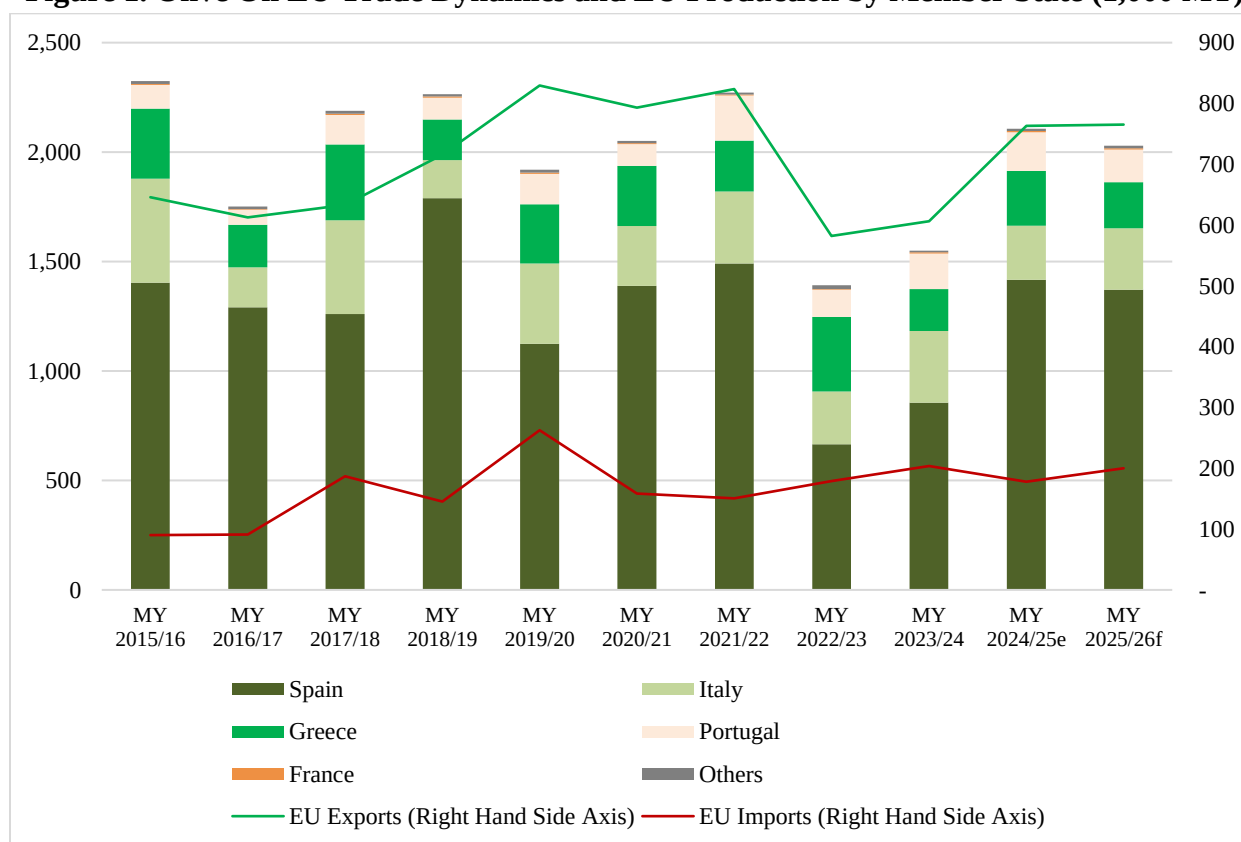
N.B.: Post trade and production data include only HS Code 1509.

Production

In MY 2025/26, Post expects olive oil production in the European Union (EU) to be marginally lower and stay at 2 million metric tons (MMT), as compared to the 2.1 MMT recorded in the previous season. Post forecast considers precipitation levels and temperatures during the olive tree flowering season, and the subsequent mild summer in terms of temperature in the EU main olive oil producing Member States (MS), as well as the long-awaited fall precipitations in the second half of November. In MY 2024/25, EU's olive oil production returned to average levels after hitting bottom in MY 2022/23 and MY 2023/24, when extreme adverse weather events pushed yields to historically low levels.

The EU is the world's largest producer of olive oil, accounting for approximately 60 percent of global production. Spain alone represents about 45 percent of the global market and 65 percent of EU production, followed by Italy, Greece, and Portugal. To a much smaller extent, olive oil production also exists in France, Cyprus, Croatia, and Slovenia. New actors in North Africa and the Middle East are becoming more relevant in the global market thanks to investments in olive cultivation. The geographical concentration of global olive oil production in the Mediterranean basin makes it more prone to regionally localized adverse weather events, and as such the global olive oil market is prone to price volatility.

Figure 1. Olive Oil EU Trade Dynamics and EU Production by Member State (1,000 MT)

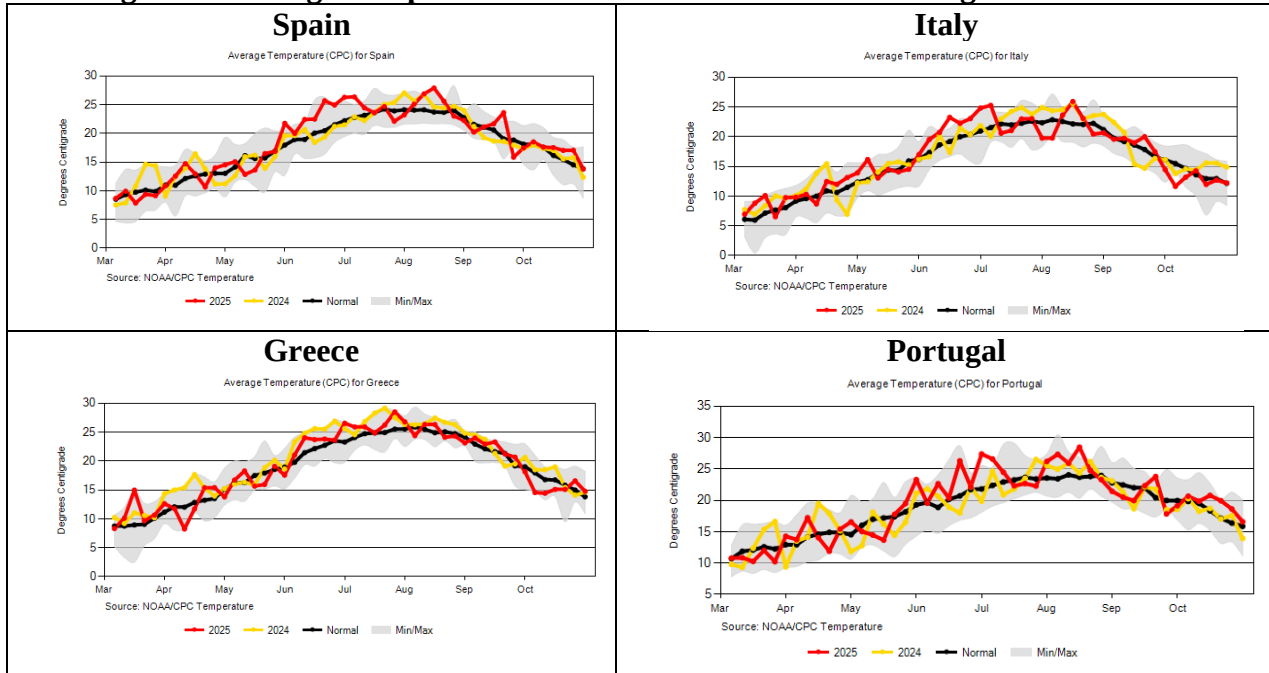


Source: International Olive Oil Council data and estimates from FAS offices in Europe.

Olive harvest in the EU, other than early harvest production, starts in November and runs until the end of winter/early spring. Spring conditions determine flowering, and summer temperatures influence fruit development. Likewise, summer and fall precipitation patterns also play a role in final output levels. Olive trees' alternative bearing limits production volumes in "off" years, particularly in the most traditional plantations. However, modern and irrigated plantations entering production continue to soften the impact of alternative bearing in olive oil production levels across the EU.

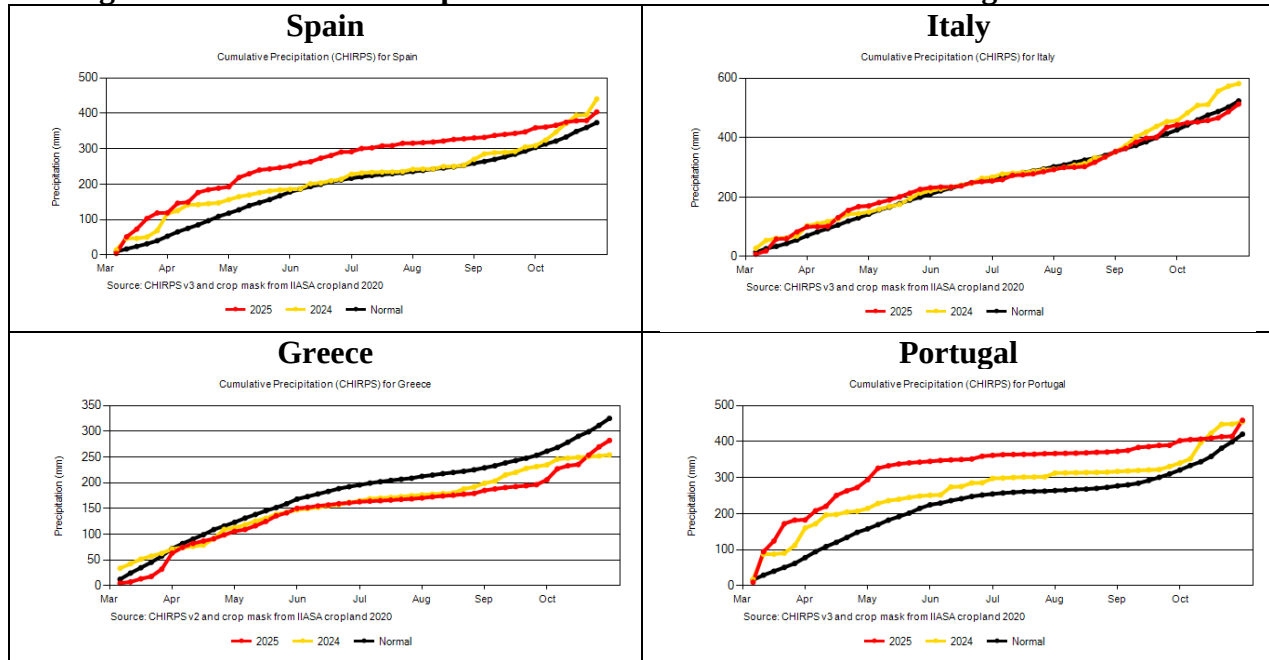
In 2025, Spain and Portugal registered above average spring precipitations, whereas in Italy and Greece accumulated precipitations were closer to average (Figure 3). The four larger olive oil producing MS were subject of summer heat waves (Figure 2) that have potential to reduce production volumes particularly in non-irrigated land.

Figure 2. Average Temperature in Main EU Olive Oil Producing Member States



Source: IPAD/Foreign Agricultural Service/USDA.

Figure 3. Cumulative Precipitation in Main EU Olive Oil Producing Member States



Source: IPAD/Foreign Agricultural Service/USDA.

In **Spain**, olive oil flowering occurred during abnormally rainy conditions in Spring 2025 resulting in large fruit load. Intense spring precipitation alleviated the initial water deficit and enabled excellent flowering and fruit setting, which set the ground for a large olive oil harvest. However, initial favorable output forecasts were overshadowed by prolonged summer heatwaves and the absence of rainfall since the beginning of fall, particularly in the case of traditional olive groves not equipped with irrigation. The long-awaited rain only materialized as of the second half of November, leaving little to no room further production expansion.

Post concurs with Spain's official estimates for MY 2025/26 olive oil production of 1.37 million metric tons (MMT), slightly below previous season levels. According to official estimates, production in Andalusia, a region that accounts for nearly 80 percent of Spain's olive oil output, is expected to decrease by five percent compared to last season. In Castile-La Mancha, production is expected to contract by 17 percent compared to last season. Slightly better results are anticipated in Extremadura, where a five percent increase in olive oil production is anticipated.

The warm and humid weather of the unseasonably warm days in October caused the olive fruit fly (*Dacus oleae*) to proliferate in **Italy**, resulting in preliminary forecasts of 280 thousand MT of olive oil in MY2025/26. The lion's share of production comes from the southern regions of Puglia, Calabria, and Sicily, which together are expected to account for 80 percent of country's output. Despite initial favorable expectations, olive trees in Puglia entered fall under considerable hydric stress from prolonged summer drought, resulting in unusual fruit-drop. Calabria shows a good to very good harvest, emerging as one of the season's highlights. Sicily's production is highly uneven, with some areas showing heavy yields and others far lighter ones. Early milling results show encouraging yields, with increases of ten to twenty percent compared to the same period last year. In contrast, Central and Northern Italy face a challenging year. After last season's abundant harvest, trees are entering their natural low-yield cycle. Added to this are the heatwaves of July and persistent olive fly infestations, which have significantly reduced crop levels.

In MY 2025/26, olive oil production in **Greece** is forecasted down by 15 percent compared to the previous year, at approximately 210 thousand MT, due to the dry and warm summer, limited precipitation, and the olive fruit fly infestation that is expected to decrease yields in all major production areas. Early fall precipitations were long awaited but not enough to counter the impact of the very dry summer conditions.

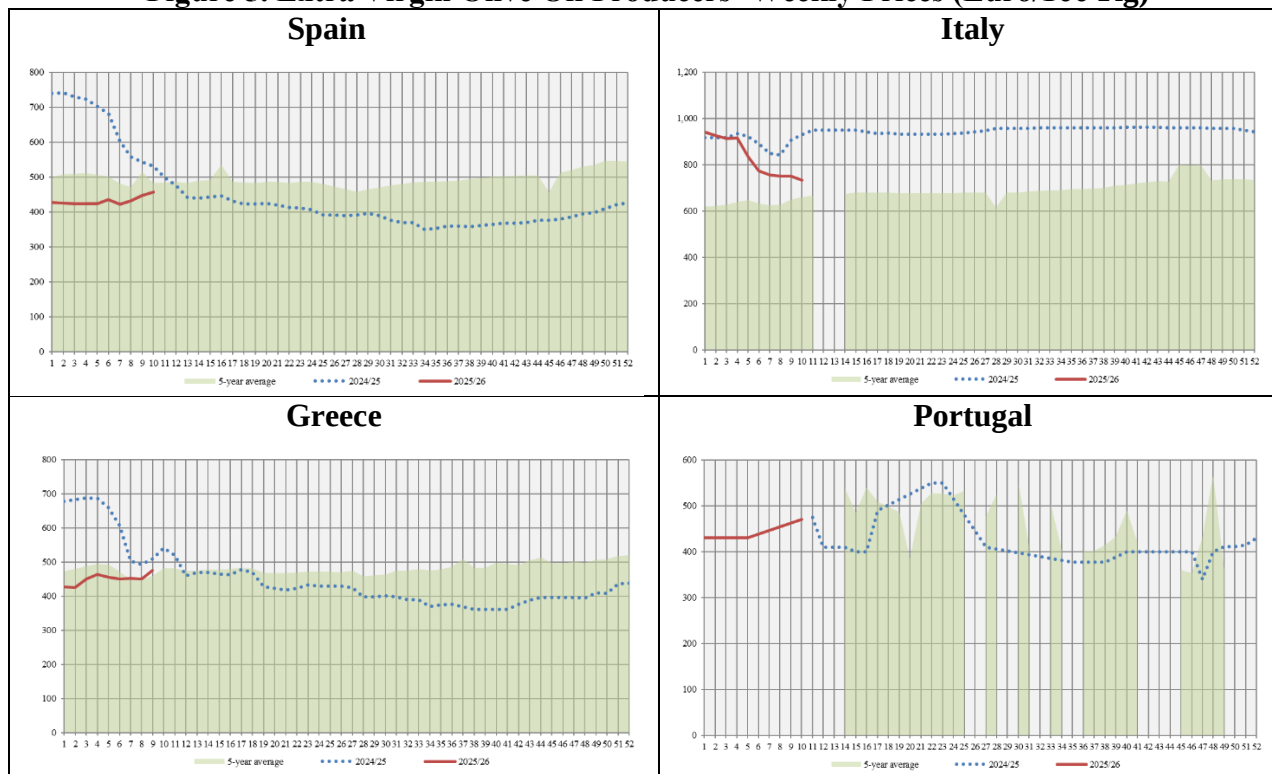
In MY 2025/26, **Portugal**'s production is expected to amount to 150 thousand MT, below previous season's levels, when production amounted to 177 thousand MT. The positive production expectations driven by favorable alternative bearing conditions, together with new plantations entering production, were ultimately negated by the high temperatures and dry conditions prevailing in summer and early fall.

Consumption

After two years of drought-driven low supply and reduced consumption, olive oil demand is expected to return to normal levels in 2024/25 and 2025/26. Olive oil globally amounts to just one percent of the world's total oil consumption. However, olive oil accounts for nearly six percent of total oil consumption in the EU, this rate is higher in olive oil producing MS, particularly due to its significant household use. According to [International Olive Council](#) data, in Spain olive oil per capita consumption is estimated at 7.5 liters, and at approximately 7.4 liters in Italy. In the case of Greece, the per capita olive oil consumption is approximately 9.3 liters, although this figure is declining due to higher retail prices and low consumer purchasing power. Conversely, in non-producing MS such as Netherlands and Germany consumption is estimated at around one liter per capita.

Overall extra virgin olive oil producer prices in most producing EU Member States at the beginning of MY 2025/26 are below MY 2024/25 levels in response to second consecutive season of normalized production. This offsets the sharp increases in prices witnessed during MY 2022/23 and MY 2023/24, plagued by extreme drought. That said, with the notable exception of Italy, weekly producer prices (Figure 5) have recently begun to trend up due to tempered expectations for the MY 2025/26 season.

Figure 5. Extra Virgin Olive Oil Producers' Weekly Prices (Euro/100 Kg)



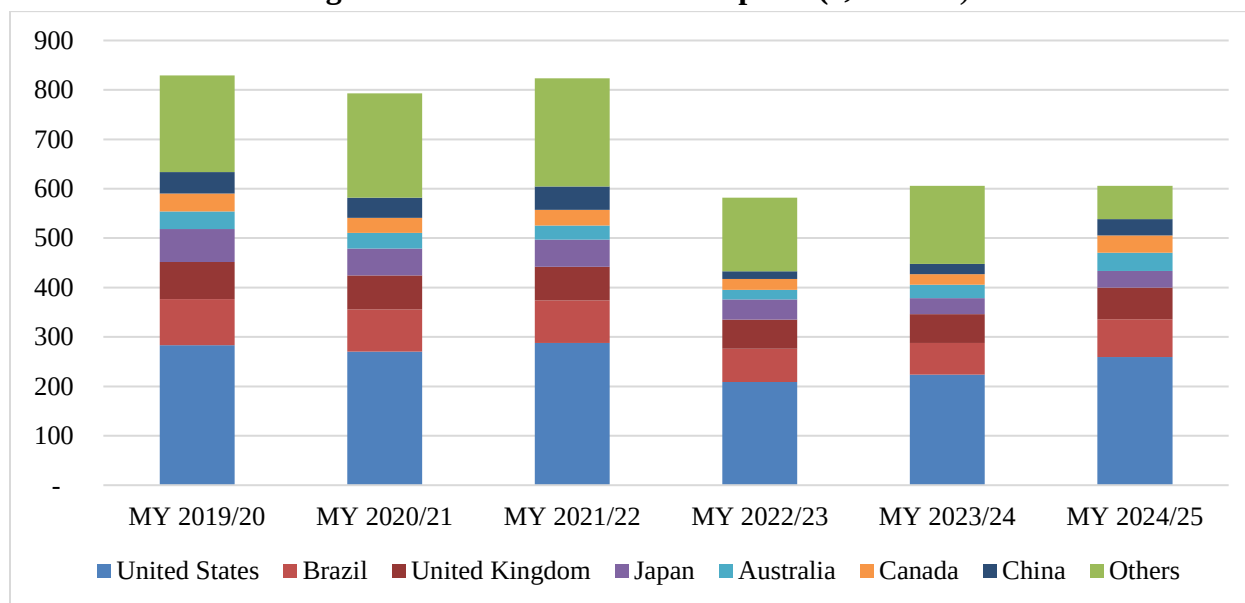
Source: [EU Commission](#).

Trade

The stability in olive production should allow the EU to consolidate its export position in MY 2025/26. The production recovery in MY 2024/25, combined with the accelerated pace of exports, has resulted in EU export levels resembling pre-drought years, despite the low beginning stocks.

Although the EU is a leading exporter of oil olive, it is also a key importer. In the context of a steady EU supply, intra-EU trade from South EU olive oil producing MS to other MS, where olive oil production is virtually nonexistent, is anticipated to continue to represent a significant part of trade. Non-producing MS such as France and Germany are key intra-EU importers.

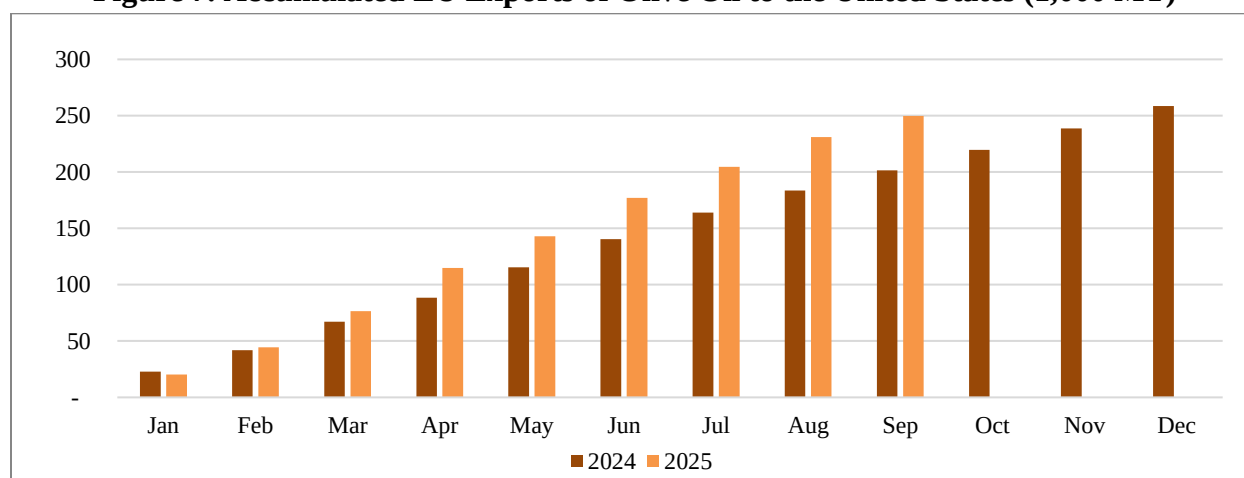
Figure 6. Extra-EU Olive Oil Exports (1,000 MT)



Source: Trade Data Monitor, LLC.

Outside the EU, the United States accounts for over one third of the EU's export volume, followed by Brazil and the United Kingdom, with each of them accounting for 10 percent of the export market (Figure 6). The announcement of potential U.S. tariffs on April 2, 2025, resulted in a sharp spike of sales to the United States to get ahead of higher duties (Figure 7).

Figure 7. Accumulated EU Exports of Olive Oil to the United States (1,000 MT)

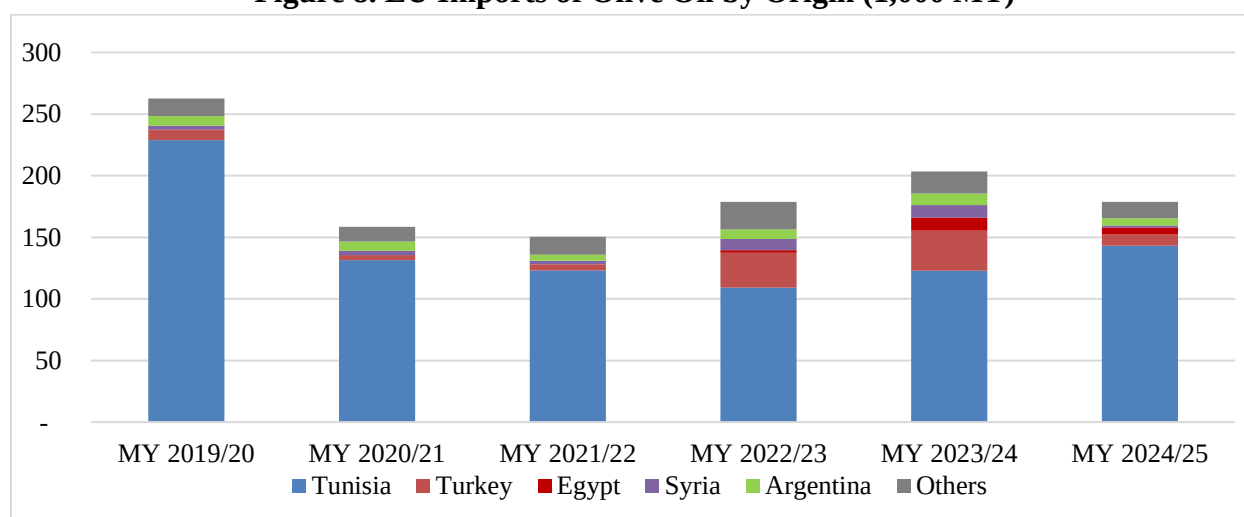


Source: U.S. Census Bureau Trade Data.

Tunisia is the EU’s largest non-MS olive oil supplier and on average accounts for over 75 percent of the bloc’s imports (Figure 8). Tunisia benefits from a specific EU trade agreement allowing [56,700 tons](#) of duty-free olive oil annually as part of the broader EU-Tunisia Association Agreement. Normally, the import quota¹ is fully allocated during the [first tender of every year](#). The Inward Processing Regime (IPR) – a separate EU mechanism - allows EU operators to import olive oil (or other goods) in bulk duty free for processing and re-export, bypassing entry tariffs on the final product re-exported outside the EU.

In MY 2024/25, the large domestic availability reduced the EU import needs compared to the two previous drought-hit Marketing Years. Also, the large availability of olive oil in Tunisia resulted in increased imports from this region, at the expenses of lower imports from Türkiye in this same Marketing Year.

Figure 8. EU Imports of Olive Oil by Origin (1,000 MT)



Source: Trade Data Monitor, LLC.

¹ Outside quota or preferential agreements, olive oil imports to the EU are subject to a 124.50 Euros/100 Kg duty.

Stocks

The second consecutive average crop in the EU is expected to allow for an ending stocks recovery in MY 2025/26. Similarly, better production numbers in MY 2024/25 alleviated the tensions in producer and consumer prices created by the EU's tight initial stock. However, the rapid pace of exports (Figure 7), somewhat accelerated by U.S. import tariff announcements, have resulted in lower than initially² anticipated stocks at the end of MY 2024/25.

Policy

The European Union has established a comprehensive policy framework for its olive oil sector. These policies are outlined in more depth in the Policy Section within [EU Oilseeds Annual Report 2025](#). Briefly, at the EU level, key policies include the Private Storage Aid (PSA) mechanism, which allows the EU to provide financial assistance for private storage of olive oil when market disturbances occur, or prices fall below set thresholds, thereby helping to stabilize the market. Participation in this mechanism is voluntary.

At the Member State level, on October 28, 2025, Spain published [Ministerial Order 1192/2025](#) creating an olive oil withdrawal mechanism to prevent potential market distortions in the event of national overproduction. The mechanism would activate if the initial stock levels on October 1st and production estimates reach 120 percent of the average level over the previous six Marketing Years. Different from the EU's PSA, Spain's market withdrawal mechanism is automatically triggered only by Spain's production levels and not by price level. If triggered, it is mandatory for all Spanish olive oil industry operators to withdraw oil from the market.

Based on production forecasts released at the beginning of October, this exceptional and temporary measure has not been triggered for MY 2025/26.

² For further reference, please consult Olive Oil Chapter within [EU Oilseeds Annual Report 2025](#).

Annex I. Main Olive Oil Producing Areas by Member State

Country	Region
Spain	Andalucía (80 percent), Castile-La Mancha (8 percent), other regions combined (12 percent).
Italy	Puglia, Calabria, and Sicily (combined account for approximately 80 percent of total production), other regions combined (20 percent)
Greece	Peloponnese and Crete (65 percent), Central and Northern Greece (20 percent), Islands (15 percent).
Portugal	Alentejo (70 percent), other regions combined (30 percent).

Source: FAS EU posts.

Annex II. Main Olive Varieties for Olive Oil Production by EU Member State

Country	Varieties
Spain	Picual, Cornicabra Arbequina and Hojiblanca.
Italy	Coratina, Ogliarola, Nocellara, Biancolilla, Cerasuola, Carolea, Ottobratica, Frantoio, Leccino, Moraiolo, Taggiasca,
Greece	Koroneiki, Megaritiki, Manaki, Lianolia
Portugal	Galega and Cobrançosa

Source: FAS EU posts.

Acknowledgements

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Attachments:

No Attachments.